

Done!

Cambridge
International
AS & A Level

Cambridge International Examinations
Cambridge International Advanced Subsidiary and Advanced Level

ECONOMICS

Paper 3 Multiple Choice

9708/32

October/November 2018

1 hour 15 minutes

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.



[Handwritten signature]

Zarak Mushtaq

Solved with reasons

This document consists of **10** printed pages and **2** blank pages.

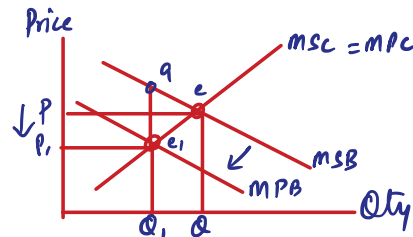
External Benefit

↑ 2

Concept of merit goods
 $SB > PB \Rightarrow$ existence of EB

1 In which situation are there definitely positive externalities?

- A Private benefits exceed private costs.
- B Private benefits exceed social benefits.
- ☒ C Social benefits exceed private benefits.
- D Social benefits exceed private costs.



* Government way to approve or reject a project

2 A cost-benefit analysis is carried out on the construction of a hydroelectric power station.

Which combination of circumstances would be most likely to lead to the scheme being approved?

- A Private benefits are greater than private costs.
- ☒ B Social benefits are greater than social costs. Existence of external benefits
- C Social benefits are greater than total costs.
- D Total costs are greater than total revenue.

$MC = \text{price}$

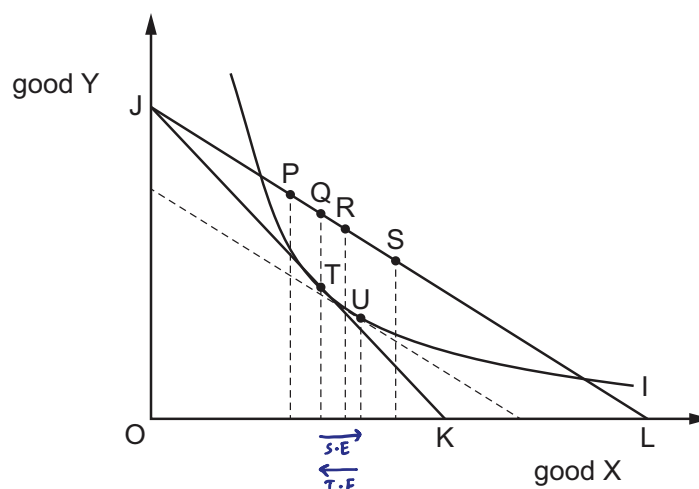
3 What does not pose a threat to the achievement of allocative efficiency?

- A imperfect information on the part of consumers | Lack of information
- ☒ B income inequalities (macro concept)
- C the existence of externalities | Dead weight loss
- D the presence of monopolistic elements | imperfections | non-price competition

Remember the
 diagram of long-run
 normal profits

Neither productive nor
 allocative efficiency
 can be achieved

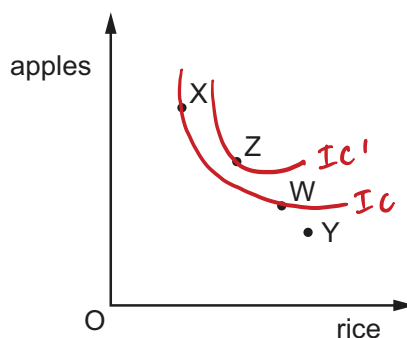
- 4 The diagram shows budget lines and an indifference curve. The consumer's initial position is T. The price of good X then falls.



Which combination of statements about the movements in this diagram is correct?

- U to P*
- A T to Q represents perfect elasticity; T to P represents a Giffen good
- No*
- B T to R represents an income effect; R to S represents a substitution effect
- C T to U represents a substitution effect; T to Q represents a normal good
- Movement along the IC*
- ☒ D T to U represents a substitution effect; U to P represents an income effect *Yes!*

- 5 The diagram shows various combinations of apples and rice which are potentially available to a consumer.



Further the indifference curve is away from the origin, it leads to maximum satisfaction

If standard indifference curves were added to the diagram they would show that the consumer is indifferent between combination X and combination W.

What can be concluded?

- Indifference curve*
- A The consumer is indifferent between combination Y and combination Z. *'X' and 'W'*
- B The consumer is indifferent between combination Z and combination W. *'X' and 'W'*
- C The consumer prefers combination Y to combination X. *(Y is not part of IC)*
- ☒ D The consumer prefers combination Z to combination W. *(Yes!)*

* Add FC + MC $\Rightarrow$ TC (Total cost at 1st unit)

4

- 6 The schedule shows the short-run marginal cost of producing good X.

Average cost						
	95	67.5	55	46.25	41	
units of X	0	1	2	3	4	5 *
marginal cost (\$)		45	40	30	20	20

Given that the total fixed cost is \$50, which level of output minimises average total cost? $ATC = \frac{TC}{Q}$

- A 2 units B 3 units C 4 units ☒ D 5 units

- 7 What must be found in two markets for price discrimination to be profitable?

- ☒ A different price elasticities of demand
 B different price elasticities of supply
 C different producers
 D different products

↓
 charging different prices to different customers for the same product reasons not associated with cost, it depends upon price elasticity of demand.

- 8 A firm maximises its profits by maximising its total revenue. With constant value 'zero' of marginal cost, the value of average cost is also constant and is equal to zero. Its graph coincides with x- axis. With zero cost of production, the monopolist has only to decide at which output, the total revenue will be maximum

What does this imply?

- A Average fixed cost is zero. *can't be!*
 B Average revenue is equal to average cost. *normal profit*
☒ C Marginal cost is zero. *cost is minimized, so profit can be maximized*
 D Marginal revenue is greater than marginal cost. *It's additional, not total*

- 9 Technological change reduces the minimum efficient scale of production in an industry.

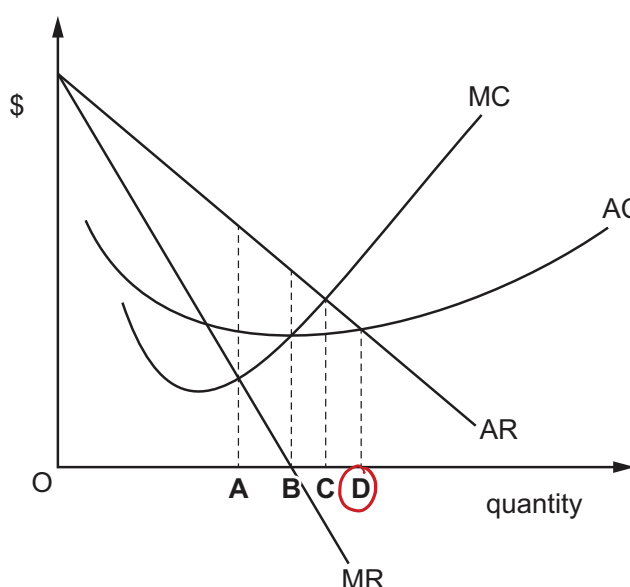
What is likely to result?

- A increased number of firms and increased size of firms
☒ B increased number of firms and reduced size of firms $\Rightarrow$ *Technology oriented*
 C reduced number of firms and increased size of firms
 D reduced number of firms and reduced size of firms

↓
less need of large sites

10 The diagram shows the costs and revenue for a firm in imperfect competition.

Which level of output would produce only a normal profit? $ATC = AR$



A:- $MC = MR$ (Profit max)
 B:- $MR = 0$ (Sales max)
 C:- $MC = \text{price}$ (Allocative)
D:- $AR = AC$ (Ans)

11 What would be a reason why small firms do not survive?

- ☒ A In certain industries, there are economies of scale. $\Rightarrow$ Can't compete with large firms
- ☐ B Small firms often supply personal services to consumers.
- ☐ C Small firms often supply products, the size of the market for which is limited.
- ☐ D Small owner-managed firms involve less risk.

Reasons for existence of small firms

12 What is the implication of a dominant oligopoly following a limit pricing policy?

- ☐ A The industry will be restricted to a target number of firms.
- ☐ B The industry will contract as rival oligopolists are eliminated.
- ☐ C The oligopolist will achieve a satisficing level of profit.
- ☒ D The oligopolist will sacrifice short-term profit for long-term profit.

LIMIT PRICING MODELS OF OLIGOPOLY. In limit pricing models a dominant firm maximizes its profits by choosing a price that is low enough to discourage some but perhaps not all entrants into the market. If the entry price of each prospective firm is clearly defined then the theory of limit pricing is simple.

Inelastic

13 Transport economists estimate the price elasticity of demand for private car use is very low.

What would be the most effective way of reducing road traffic congestion?

- ☒ A banning private cars and lorries from town centres (Ban - the only option)
- ☐ B introducing a subsidy to lower the price of using bicycles won't switch
- ☐ C introducing road pricing on all main roads won't switch
- ☐ D subsidising public transport such as trains and buses won't switch

14 What would help to explain why there was a reduction in wage inequality in a country during the post-2008 economic recession? $\Rightarrow$ Low incomes and loss to businesses

- A a decline in the share of wages in national output
- B a decline in trade union bargaining power *more inequality*
- ☒ C the existence of a minimum wage 'Law passed'
- D the trend towards later retirement

15 How is marginal revenue product calculated? $MRP = MPP \times \boxed{MR} \rightarrow (MR \text{ or price})$

- ☒ A marginal physical product $\times$ marginal revenue *Profit max level of employment*
- B marginal physical product $\div$ price
- C total physical product $\times$ marginal cost
- D total physical product $\div$ marginal cost

$$MC_L = TC_{31} - TC_{30}$$

$$112 = (x \times 31) - (30 \times 50)$$

$$x = 52$$

$$* 52 - 50 \Rightarrow \$2 \uparrow$$

16 A firm currently employs 30 workers at a daily wage of \$50 each.

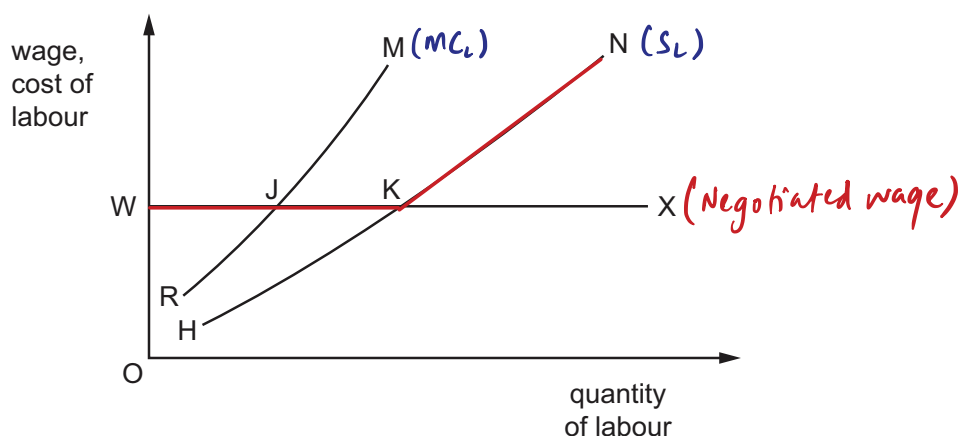
The marginal cost of employing one extra worker is \$112 per day.

By how much will the firm have to increase the daily wage in order to increase its labour force from 30 to 31 workers?

- ☒ A \$2
- B \$4
- C \$62
- D \$112

17 In the diagram, HN is the initial supply of labour curve faced by a firm, and RM is its initial marginal cost of labour curve.

Repeated



What will be the firm's new labour supply curve if the workers join a trade union and achieve a union negotiated wage, OW?

- A RJX
- B HKX
- C WJM
- ☒ D WKN

Total output
no. of workers

7

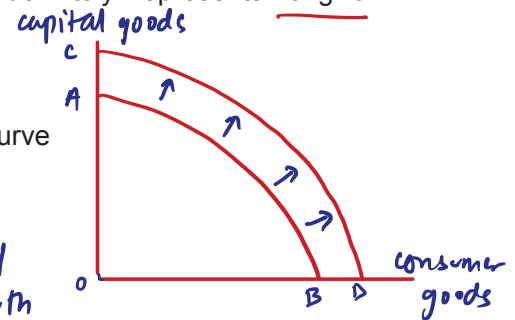
18 Output per worker in an industry increases more slowly than the industry's total output.

What could explain this?

- A a decrease in labour productivity (Less labour, $AP_L \uparrow$)
- ☒ B an increase in employment (Number of workers increasing)
- C an increase in overtime working ($AP_L \uparrow$)
- D an increase in the hourly wage rate ($AP_L \uparrow$)

19 On a diagram showing a production possibility curve, what definitely represents long-run economic growth? (Shift)

- A a change in the slope of the curve
- ☒ B a movement from a point below the frontier to a point on the curve
- ☒ C a movement from one point to another along a given curve
- ☒ D an outward shift of the curve



20 When is economic growth most likely to promote economic development?

- A when it achieves maximum rates of extraction of raw materials $output \uparrow$
- B when it concentrates on increasing production $output \uparrow$
- C when it discovers valuable new resources in remote natural environments $output \uparrow$
- ☒ D when it provides the funds to finance cleaner production processes $\rightarrow$ Better society

Economic development is the process in which a nation is being improved in the sector of the economic, political, and social well-being of its people. Consequently, as economist Amartya Sen points out, "economic growth is one aspect of the process of economic development".

21 Which items in the table are classified as foreign aid?

	foreign direct investment	official development assistance	portfolio investment flows
A	no ✓	no	yes
☒ B	no ✓	yes ✓	no ✓
C	yes	no	yes
D	yes	yes ✓	no ✓

$\downarrow$
foreign aid

A foreign direct investment (FDI) is an investment in the form of a controlling ownership in a business in one country by an entity based in another country. It is thus distinguished from a foreign portfolio investment by a notion of direct control.

Portfolio investments are investments in the form of a group (portfolio) of assets, including transactions in equity, securities, such as common stock, and debt securities, such as banknotes, bonds, and debentures.

Higher

- 22 Country X's living standards were compared with country Y's living standards using real GNP per head converted into US dollars. Country X was ranked above country Y.

Which factor might have caused this ranking to be incorrect?

- ☒ A Actual market exchange rates were used rather than purchasing power parity rates. (Big difference)
- ☐ B Government spending on transfer payments was higher in country Y than in country X.
- Higher S.O.L. ☒ C Inflation was higher in country X than in country Y. S.O.L. would have been lower of X
- D The distribution of income was more unequal in country X than in country Y. Lower S.O.L. of X

- 23 In 2007 Turkey had a population of 73m. Its labour force was 36m, of which 12m were trained for the primary sector and 24m were trained for the secondary and tertiary sectors. The unemployment rate was 10%.

What was the number of people unemployed?

$$\text{Unemployment rate} = \frac{\text{Unemployed}}{\text{labour force}} \times 100$$

A 1.2m

B 2.4m

☒ C 3.6m

D 7.3m

$$10\% = \frac{x}{36} \times 100$$

$$x = 3.6 \text{ m}$$

- 24 An economy's manufacturing share of real GDP fell from 30% in 1970 to 12% in 2016.

What type of unemployment would result from this?

- A cyclical / Demand deficient / Recession
- B frictional / Mismatch / Switch
- ☒ C structural / Fall in demand of particular industry / Occupationally immobile
- D voluntary / Unemployment benefits

- 25 In an open economy, when autonomous investment increases by 100, equilibrium national income increases by 300.

Which conclusion can be drawn?

A The accelerator is 3. $\frac{\Delta I}{\Delta RNI} = \frac{100}{300}$

$$\text{Multiplier} \times \Delta E = \Delta RNI$$

$$\frac{1}{1-c} \times 100 = 300$$

☒ B The marginal propensity to consume is $\frac{2}{3}$.

$$\frac{1}{1-c} = 3$$

C The marginal propensity to import is $\frac{2}{3}$.

$$1 = 3 - 3c$$

D The marginal propensity to save plus marginal tax rate is $\frac{1}{3}$.

$$\downarrow$$

No government

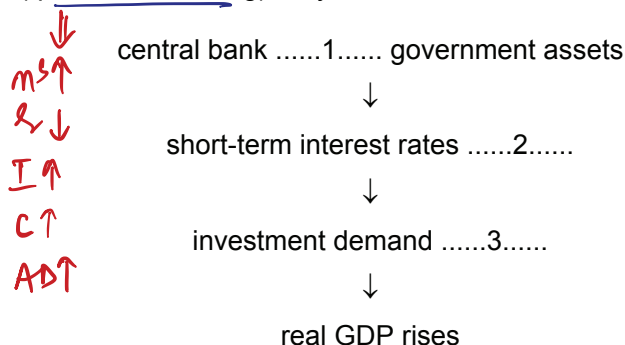
$$3c = 3 - 1$$

$$3c = 2$$

'c' is marginal propensity to consume

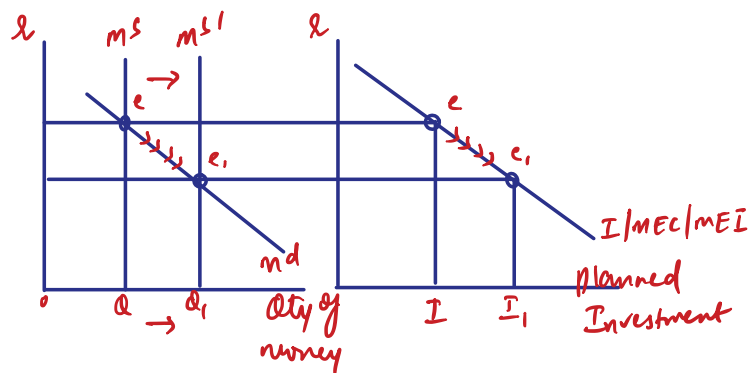
$$c = \frac{2}{3}$$

- 26 The diagram outlines the monetary transmission mechanism following an expansionary central bank intervention (quantitative easing). Key actions have been omitted from the process.



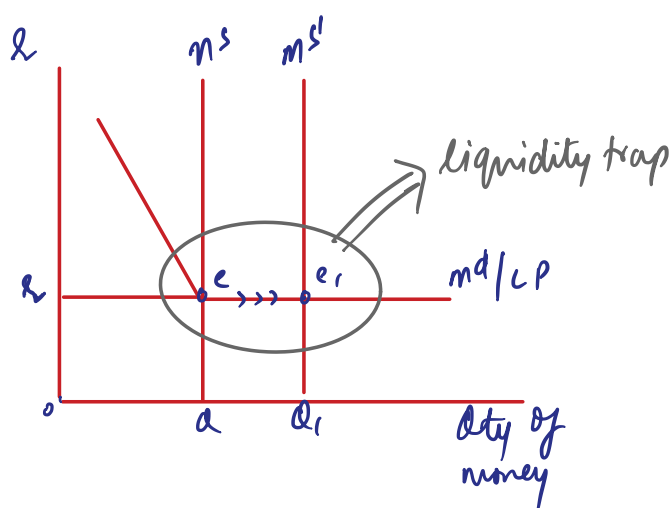
Which words complete gaps 1, 2 and 3?

	1	2	3
☒ A	buys ✓	fall ✓	rises ✓
☐ B	buys ✓	rise	falls
☐ C	sells	fall ✓	rises ✓
☐ D	sells	rise	falls



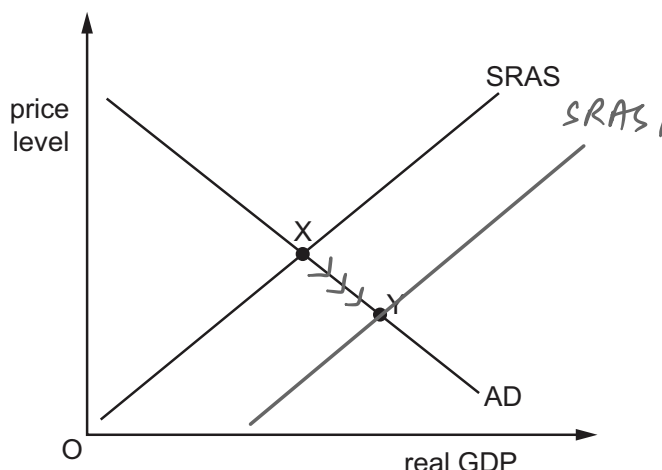
- 27 In Keynesian monetary theory, when will an increase in the supply of money not cause a fall in interest rates?

- A if bond prices are expected to rise
- B if investment demand is interest-inelastic
- ☒ C if the liquidity preference schedule is perfectly elastic (liquidity trap)
- D if the velocity of circulation of money increases



A liquidity trap is a situation, described in Keynesian economics, in which, "after the rate of interest has fallen to a certain level, liquidity preference may become virtually absolute in the sense that almost everyone prefers [holding] cash [rather than] holding a debt which yields so low a rate of interest." Wikipedia

28 The diagram shows an economy in equilibrium at point X.



What would be most likely to cause the economy to move from point X to point Y?

^{G↑ AD↑}
A an increase in government spending on transfer payments

B an increase in income tax ^{AD↓}

C an increase in the average wage rate ^{SRAS↓}

☒ D an increase in the productivity of labour ^{AS↑}

29 The table identifies pairs of possible government aims.

*low inflation leads to BOT surplus
thus BOP surplus (Non-conflicting)*

In which case is achievement of aim 1 likely to be consistent with the achievement of aim 2?

	aim 1	aim 2
A	higher foreign exchange rate	lower rate of unemployment
☒ B	low rate of inflation	balance of payments surplus
C	more even distribution of income	higher rate of saving
D	rapid economic growth	sustainable economic development

leads to externalities

30 What is most likely to result from the discovery of oil reserves in a developing economy?

A a more equal distribution of income and wealth, *linked with taxation, transfer payments*

B an increase in the competitiveness of commercial agriculture *No link*

☒ C an increase in the exchange rate *X(£)↑, Demand↑, Appreciation*

D a reduction in the volume of imports of manufactured goods *No link*